

ability to experiment with new technologies in separate parts of their factory; this allows early adopters to evaluate the real-world benefits before committing to a larger deployment. These early deployments are putting more of Alphabet's assumptions to the test. Unlike in the computer hardware business, customers are not willing to pay top dollar for maximum performance. This has required significant changes in Alphabet's product, configuring it to achieve the lowest cost per watt possible.

All this experimentation has cost the company a tiny fraction of what other energy startups have consumed. To date, Alphabet has raised approximately \$1 million. Only time will tell if they will prevail, but thanks to the power of small batches, they will be able to discover the truth much faster.¹⁰



The Toyota Production System is probably the most advanced system of management in the world, but even more impressive is the fact that Toyota has built the most advanced learning organization in history. It has demonstrated an ability to unleash the creativity of its employees, achieve consistent growth, and produce innovative new products relentlessly over the course of nearly a century.¹¹

This is the kind of long-term success to which entrepreneurs should aspire. Although lean production techniques are powerful, they are only a manifestation of a high-functioning organization that is committed to achieving maximum performance by employing the right measures of progress over the long term. Process is only the foundation upon which a great company culture can develop. But without this foundation, efforts to encourage learning, creativity, and innovation will fall flat—as many disillusioned directors of HR can attest.

The Lean Startup works only if we are able to build an organization as adaptable and fast as the challenges it faces. This requires tackling the human challenges inherent in this new way of working; that is the subject of the remainder of [Part Three](#).